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Yangjie Technology | Asia Pacific

3Q26 preliminary results beat, gross margin improved QoQ

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis

↑ Meaningful upside

Financial results versus consensus

↑ Modest revision higher

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- We think the company is on track to achieve its full-year revenue target of Rmb9.5bn, helped by robust demand from EV, AI, energy storage, and industrial.
- Maintain OW. We believe the recent sell-off offers a good opportunity to accumulate at 19x 2027e P/E, vs. its seven-year trading range of 20-31x.

3Q26 preliminary earnings beat our estimate by 14% at the midpoint:

- 3Q26 revenue is expected to be Rmb2.4bn-plus, up ~29% yoy and ~2% qoq, largely in line with our estimates.
- 3Q26 earnings are expected to be Rmb495mn, up 33% yoy and 28% QoQ. The midpoint is 14% above our estimate.
- 3Q25 gross margin improved QoQ, supported by strong sales growth momentum and product mix upgrades; the company also enhanced lean manufacturing and end-to-end cost controls, effectively mitigating rising raw material costs and supporting gross margin improvement.
- Automotive and SiC businesses maintained strong momentum. Automotive business achieved 100%+ growth YTD, benefiting from EV penetration increase and localization.

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Yangjie Technology (300373.SZ, 300373 CS)

Greater China Technology Semiconductors | China

Stock Rating	Overweight
Industry View	Attractive
Price target	Rmb136.00
Up/downside to price target (%)	68
Shr price, close (Oct 8, 2026)	Rmb81.00
52-Week Range	Rmb162.00-61.72
Sh out, dil, curr (mn)	543
Mkt cap, curr (mn)	Rmb43,984.2
EV, curr (mn)	Rmb40,935.1
Avg daily trading value (mn)	Rmb1,557

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	2.32	3.00	4.24	5.53
EPS (Rmb)\$	2.36	3.14	4.10	5.11
Revenue, net (Rmb mn)	7,130	9,433	11,517	14,182
EBITDA (Rmb mn)	1,911	2,491	3,124	3,952
ModelWare net inc (Rmb mn)	1,259	1,630	2,302	3,005
P/E	29.3	27.0	19.1	14.6
RNOA (%)	18.8	24.3	26.3	30.5
ROE (%)	13.7	16.5	20.5	22.7
EV/EBITDA	17.7	16.5	12.9	9.9
Div yld (%)	1.4	0.6	0.7	1.0
FCF yld ratio (%)**	(1.3)	0.2	2.6	3.2
Leverage (EOP) (%)	(30.8)	(25.8)	(28.1)	(29.6)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\$ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Yangjie Technology (300373.SZ)

Base case, residual income model - we believe this methodology is best suited to capturing long-term value. We assume an 8.4% cost of equity (beta 1.06, risk-free rate 2.0%, and risk premium 6.0%), a medium-term growth rate of 18%, and a terminal growth rate of 5.5%.

Risks to Upside

- Faster-than-expected share gains in China's discrete market
- Launches of more auto discrete products with higher margins
- Favorable pricing resulting from shortages

Risks to Downside

- Slower-than-expected market share gains in China's discrete market
- Limited technology upgrades, falling behind local peers
- Global economic recession, leading to a decline in discrete shipments

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(as of September 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/08/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$154.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,345.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$744.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb981.00
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb50.52
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$8,360.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$1,130.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$571.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$95.60
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$92.25
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$304.50
MediaTek (2454.TW)	O (11/28/2025)	NT\$4,690.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb467.58
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$532.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb78.96
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,060.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb96.00
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$462.50
SMIC (0981.HK)	O (10/21/2025)	HK\$56.80
TSMC (2330.TW)	O (02/07/2022)	NT\$2,550.00
UMC (2303.TW)	O (05/19/2026)	NT\$147.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$186.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$581.00

Daisy Dai, CFA

ASMP T Ltd (0522.HK)	O (07/24/2025)	HK\$163.80
China Resources Limited (688396.SS)	U (03/02/2026)	Rmb52.02
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb85.45
Hangzhou Silan Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb29.64
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb220.53
Innoscence (2577.HK)	E (10/13/2025)	HK\$37.20
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb62.60
Shanghai Fudan (1385.HK)	O (03/07/2025)	HK\$24.16
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb102.50
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb105.95
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb78.85
Unigroup Guoxin Co Ltd (002049.SZ)	U (01/10/2023)	Rmb56.14
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb23.07
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb81.00
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$980.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,490.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$17,485.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$100.50
Elan Corp (2458.TW)	O (10/03/2025)	NT\$132.00
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT\$2,915.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb117.65
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb334.40
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$116.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$273.40
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb197.01
Novatek (3034.TW)	U (02/04/2026)	NT\$531.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$155.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$558.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$72.20
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$749.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb51.55
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$177.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$117.50
WT Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$215.50
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb105.73
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb288.60
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$72.77
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb313.24
Maxscend Co Ltd (300782.SZ)	U (01/11/2021)	Rmb64.65
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb600.32
Tiffany Yeh		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,525.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$667.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$14.09
Hon Precision (7769.TW)	O (04/17/2026)	NT\$5,925.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$5,575.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$285.78
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$5,615.00

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* Historical prices are not split adjusted.

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